

HPP pitch deck

PITCH — HPP — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no order, no bid; the file reopens only on the filed extension terms for the \$1.1B Hollywood Media Portfolio loan, with the starter band and the permanent-pass condition both pre-specified below.

What we believe

Hudson Pacific Properties is a West Coast office-and-studio landlord whose common stock is a thin slice of a large, heavily borrowed asset base. Roughly \$894M of stock-and-unit value sits on top of about \$3.41B of debt and \$425M of preferred stock, so the common is about 19% of the whole enterprise (~\$4.72B). That leverage is the entire story: a 10% move in property values moves the common by roughly half.

Three things we now believe, after both benches corrected each other:

1. **The business is stabilizing, not collapsing and not booming.** First-half same-store cash rental income was essentially flat (−0.3%: Q1 −7.4%, Q2 +7.5%), and occupancy rose from 77.8% to 82.5% quarter over quarter. The company's full-year guide implies the second half runs about −1% to −3%. That is a flat-to-slightly-down operating business, not the “office is dead” narrative and not a recovery either.
2. **The stock is not obviously cheap and not obviously expensive.** At ~\$13.6–13.7 it trades at about 11.3–12.2x the company's own guidance for core funds from operations (\$1.12–1.20 per share, after preferred dividends), midpoint ~11.7x. Guidance implies second-half quarterly earnings power drops about 20% from what Q2 printed (\$0.35 → ~\$0.28), so the forward multiple on the run rate is closer to 12x. Neither bench built an independent fair value. **We do not have our own number.**
3. **The one thing that actually decides this in the next two weeks is a document we have not been allowed to read.** A \$1.1B mortgage on the Hollywood studio portfolio matures **2026-09-09**. The company's own filed 10-Q says only that it “entered into an agreement extending the maturity of the loan for an initial period through September 9, 2026 **while it negotiates a potential longer-term extension**” ([10-Q, 2026-08-10](#)). On the earnings call two days later, management characterized this as terms agreed with only documentation outstanding. Those are different statements, and only the weaker one is in a filing.

So: a fairly-priced, moderately levered operating business with a dated, binary financing event seven trading days out that we cannot see the terms of. **Flat until the terms are filed.**

What the market believes

The market believes this is a survivable refinancing, priced with a discount for the uncertainty rather than for a wipeout. The evidence:

- The stock has had thirteen sessions to digest the special-servicing news and is net **-4.9%** over that stretch, with daily swings of -10.2% and +7.2%. That is a headline-reactive stub, not a market pricing default.
- Sell-side targets sit at roughly **\$14 (BofA, Underperform) / \$15 (Citi) / \$16 (Goldman)** against ~\$13.6 — a mean about 10% above spot. Those targets came to us second-hand and are **unverified**.
- The stock is 37% below its 52-week high and 159% above its 52-week low simultaneously. Both anchors are true; the low is a distressed print that has already been left far behind.

In short: the market thinks the loan gets extended and the business muddles through. We do not disagree with either half of that.

Why we might have edge

Honestly: **thin, and mostly of the “we won’t be fooled” variety rather than the “we know something” variety.**

- **We caught a disclosure mismatch the market may be trading on the wrong side of.**
The filed document says “negotiates a potential” extension. Management’s oral upgrade to “terms agreed” was never put in an 8-K. Separately, the fact that this loan went to special servicing reaches the market only through third-party loan-servicer data ([CRE Daily](#)) — the issuer’s own 10-Q never uses those words. Anyone anchored on the call transcript is holding a stronger claim than the filed record supports.
- **We have a pre-committed decision rule for the event**, which most event-driven buyers will not have: specific terms that make us a buyer and specific terms that make us a permanent passer. That converts a scramble into a checklist.
- **We may be looking at the wrong instrument, and that is itself an edge if we fix it.** If the common is a 19% sliver and the risk is capital structure, the Series C preferred (17.0M shares, \$25 par, 4.75%, \$20.2M/year of fixed charges covered roughly 4.8x by pre-preferred core FFO) is the cleaner expression of the same view. We have never priced it — see unverified.

What is **not** edge: our view of West Coast office demand, our view of the multiple, or our read of the sell-side. On all three we are the consensus.

Why it might be priced in

- **The multiple is the consensus multiple.** ~11.7x post-preferred core FFO for a levered, flat-to-declining West Coast office REIT is roughly what the sector clears at. Nothing about that number screams mispricing.

- **The special-servicing fact is thirteen sessions old.** Everyone who reads servicer data has had it; the -4.9% is the market's answer.
- **Every input we used is a public filing.** Both benches worked from the Q2 8-K exhibit and the 10-Q. There is no proprietary data in this file — no satellite, no customs, no app-review, no litigation channel added anything (all detectors checked and clean; the tenant-credit detector was the relevant one and found no distress at Netflix or the City and County of San Francisco).
- **The gap to the street is +10%,** which is inside the noise of REIT price targets and does not, by itself, constitute a divergence worth acting on.
- **If the extension lands cleanly, the repricing happens in the first minutes.** Our informational advantage on the event is zero; we would be buying the post-news print alongside everyone else.

What could go wrong

Failure narrative 1 — the good news costs us the trade (most likely). A clean extension is filed, the stock gaps 10–20% on the print, and our pre-set starter band of ~\$13.35 never trades again. We end up either paying up through our own rule or watching from the sidelines while being right. *Tripwire: monitorable* — the 8-K itself. But the tripwire fires simultaneously with the price move, which is exactly the case where a tripwire does not protect you.

Failure narrative 2 — the terms are clean in the headline and poisoned in the exhibit. The 8-K announces “maturity extended to 2029” and we buy the starter. The damage is in the loan agreement filed as an exhibit or in the next 10-Q: a springing recourse trigger, a cash-management lockbox sweeping property cash flow away from the parent, a required interest-rate-cap purchase at current pricing, a debt-yield or DSCR test that re-traps the asset in twelve months, or — the one fact neither bench could establish — **a cross-default that links this property mortgage to the unsecured notes and revolving facility**. If that cross-default exists, the “ring-fenced, property-level, no parent guaranty” conclusion that the blue bench used to overturn the red bench's biggest scare is wrong, and the whole company is exposed rather than one portfolio. *Tripwire: partially monitorable* — we can read the exhibit, but only after we have bought, and only if we actually read it rather than the press release.

Failure narrative 3 — the channel itself goes dark (NO MONITORABLE TRIPWIRE).

Everything material about this loan's status has reached the market through a plane we do not subscribe to: commercial-mortgage loan-servicer data (Trepp/CREFC), surfaced to us third-hand through trade press. The issuer's own filings did not carry the special-servicing transfer at all. A modification, a further transfer, an appraisal reduction, a borrower-lender standstill, a Netflix studio-footprint consolidation negotiated privately with the landlord — all of these can happen and be known to the servicer, the special servicer, the trade press and the fast money **before any HPP filing exists**, and we have no feed that would tell us. We cannot build a tripwire for this because we do not own the sensor. *Unknown-unknown class: off-plane disclosure* — material status changes on an asset we own exposure to, disclosed on a counterparty's or servicer's venue rather than the issuer's, on a calendar we do not control and cannot poll. This is precisely the class the new

servicer_transfer_absent_from_issuer_filing detector was proposed to cover, and it does not exist yet.

The reflexive and structural leg.

- *Our size vs. the market's.* A 0.4–0.6% starter is small in dollar terms against a ~\$894M equity-and-units market value on a NYSE-listed name; market impact from our own order is not a real risk. **Caveat: we never actually polled average daily volume — the IBKR connection was permission-denied three sessions running — so this is an inference, not a measurement.**
- *Predicted flow works against us, not for us.* The entire event-driven community is waiting on the same 8-K. Our own rule tells us to buy on that filing, which means our rule tells us to bid into the exact moment of maximum competing demand. That violates our standing principle of never bidding into flow we ourselves predict. The honest mitigation is a limit order at a pre-set price, not a market order on the headline — and accepting that the limit may simply not fill (see narrative 1).
- *Doctrine interactions, stated plainly.* (a) Our house rule says a court whose only objection is “we can’t see a document” owes a minimum starter rather than a flat. Both benches ended at flat anyway, on the grounds that this particular information gate **expires in seven trading days** — a defensible exception, but it is an exception, and if the extension slips past 9/9 without resolution the flat becomes an indefinite flat by drift rather than by decision. (b) Our integrity rule says a name where management’s spoken characterization runs ahead of its filed characterization can never be treated as ordinary fairly-paid risk and must be bought at no more than 0.85x our fair value. That flag is currently **live**. It clears only if the filed terms match what management said on the call; if they come in worse, the flag stands and our maximum price drops to roughly \$11.85 ($0.85 \times 12x \times \1.16) even on an otherwise acceptable extension. (c) The preferred, not the common, may be where fairly-paid risk actually lives here — and we have not priced it, so the doctrine cannot even be applied to the right instrument yet.

If this position loses money, the most likely reason will be that we bought the common on a clean-looking extension headline and the real terms — a cash-flow sweep, a springing recourse, or a cross-default into the unsecured stack — sat in an exhibit or a servicer file we had no sensor for, so a 19%-of-enterprise stub absorbed the entire cost of a refinancing that the press release called a success.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Office demand is fine here — same-store cash income +7.5%, fourth straight occupancy gain” (original brief)	Pulled the full Q2 8-K exhibit 99.1 including the forward-assumptions block	Full-year same-store guide is negative (−1.75% to −0.75%). One quarter does not extrapolate.	No — brief’s leg struck
Red bench: “therefore the second half must be sharply negative”	Blue bench pulled Q1 2026 , which red never	First half is flat (−0.3%) , so the guide implies H2 of only ~−1% to −3%	No — red’s inversion struck too

Claim	How checked	Found	Confirmed?
	did (-7.4%, \$85.2M vs \$92.0M)		
Red bench: “the company guides the occupancy streak to stop” (full-year average 80–82% < Q2’s 82.5%)	Solved the average arithmetic with Q1 at 77.8%	Implied H2 average is 79.9%–83.9% — the top half is <i>above</i> Q2. A rising series always averages below its exit quarter. Unit error by our own bench.	No — red wrong
Red bench: “guidance is before preferred dividends, so it’s ~16x, not cheap”	Read the reconciliation line by line: “FFO attributable to preferred shares and units \$(5,091)” is subtracted before “Core FFO to common \$23,137”	Guidance is already after preferred . Multiple is ~ 11.7x , not 16x. Red double-counted \$0.31/share — its single largest error, and on the exact item it had itself flagged as unverified.	No — red wrong
Red bench: “~11.4M operating-partnership units sit outside the share count”	10-Q partnership note: 55,476,644 units, Company owns ~96.6%	Outside units are only ~ 1.2–1.9M . The real 11.4M wedge is pre-funded warrants from the Q2 2025 raise. Right denominator, wrong reason.	No — red wrong on mechanism
Red bench: “\$1.1B loan = 149% of market cap, JV partner ranks below us”	Same exhibit deducts FFO to non-controlling interests \$(22–26M); 10-Q: subsidiaries “are not obligors of or under the debt of their respective affiliates”	Partner shares pro rata, alongside ; debt is property-level with no parent guaranty found . Red used 100% of the debt while excluding the partner from enterprise value — internally inconsistent.	No — red wrong
Red bench: “no divergence, we agree with the street”	Checked what fair value red actually built	None . The “no mechanism for a gap” rested on the void 16x. Street mean is ~10% above spot. Red counted price targets instead of doing the work.	No — red wrong
Enterprise value and the common’s share of it	Rebuilt consistently: 65.7M share-equivalents × \$13.61 = \$894M, + \$425M preferred, + \$3,414.9M debt, + \$61.4M JV minority, – \$80.8M cash	EV ≈ \$4.72B; equity+units ≈ 19.0% (the original brief’s ~18% was closer than red’s 15.9%)	Yes
Series C preferred terms	10-Q equity note	17.0M shares × \$25 liquidation, 4.750%, ~\$20.2M/yr, covered ~4.8x by pre-preferred core FFO	Yes
Second-half earnings step-down	Arithmetic on guidance: \$1.16 midpoint – \$0.60 first-half = \$0.56 over two quarters	~ \$0.28/quarter vs Q2’s \$0.35, –20% , on a flat guided share count — a genuine operating decline, not a share-count artifact	Yes — the brief’s catch stands
The extension’s status	Compared the filed 10-Q wording against the 8/12 call and trade press	Filing says “ negotiates a potential longer-term extension”; call says terms agreed. Filing never says “special servicing.”	Yes — divergence is real
“No 8-K has been filed, therefore something is wrong” (red’s supporting inference)	Checked timing and filing obligations	The call post-dates the 10-Q by two days, and an unsigned term sheet is not a reportable definitive agreement. Absence	No — narrows the finding

Claim	How checked	Found	Confirmed?
		of an 8-K proves nothing. Red over-read its own finding.	
Where the stock actually trades	Three sources: evidence pack (Yahoo) \$13.73, pack broker field \$13.61, live daily close \$13.66	All within 0.9%; the \$15.54/\$16.665 vendor marks in the original brief are refuted . But the broker connection was permission-denied for the third consecutive session — we have no true live poll, and no quote at all on the preferred.	Partially — rail failure
Detector coverage	Ran the dispatch list on both benches	All matched detectors clean and irrelevant to a capital-structure question (no residential rent, no Texas, no China exposure, no pre-IPO sponsor recap, no Albuquerque). Red skipped two dispatch-matched entries and substituted two unlisted ones — a process defect blue caught.	Yes, with a process failure noted
Do earnings land inside our window?	Checked filing inventory against the vendor-derived date	Next print ~2026-11-05 is vendor-derived and unconfirmed by any company announcement . No print within five trading days.	Unconfirmed

PROPOSED ENTRY BANDS

The courts say no entry today. These are reopen bands. Nothing is to be bought, and no resting order is to be placed, before the extension terms are filed — a standing order into a dated binary is an accidental bet on the outcome.

Reopen trigger: an 8-K (or the Q3 10-Q, whichever comes first) disclosing **executed** terms for the \$1.1B Hollywood Media Portfolio loan. Re-court the same day.

Qualifying terms (all three must hold): - New maturity **2028 or later** - **No new parent guaranty and no recourse** to Hudson Pacific Properties, Inc. or the operating partnership - Required paydown $\leq$ **\$100M**

If terms qualify and management's oral characterization is matched by the filing (integrity flag clears): - **Starter: 0.4–0.6% of the book**, limit $\leq$ **\$13.35** — approximately 11.5x the \$1.16 midpoint of the company's own post-preferred core FFO guidance, i.e. a modest discount to where it trades now. Limit order only; do not chase the print. - **Add: to 1.0% total at $\leq$ \$11.60** — 10x the midpoint, the level at which the second-half run rate (\$1.12 annualized) is bought at ~10.4x. - **Trim / do not add above: \$16.24** — 14x the midpoint, which is also roughly the highest published street target (\$16). This is a no-chase line, not a target; we have no fair value of our own to sell against.

If terms qualify but the filing is materially worse than what management said on the call (integrity flag stands): maximum price **\$11.85** (0.85x the 12x-midpoint reference), starter size only, or pass. Our house rule does not permit paying full freight in a name where the spoken story ran ahead of the filed one.

If terms add recourse to the parent, or force a paydown above \$100M, or the maturity extension is less than 18 months: permanent pass. Close the file; do not re-litigate on price.

If 9/9 passes with no filed resolution: the flat continues, but it must be re-decided, not allowed to drift. An information gate that stops expiring stops being a valid reason to be flat, and our own rule then says we owe either a minimum starter or a named, non-informational reason to stay out.

Instrument note: before any common-stock entry, poll the **Series C preferred**. At 4.75% on \$25 par with ~4.8x coverage and seniority to \$894M of equity, it may be the better-paid expression of the identical view. We cannot compare them because we have never seen its price.

Sizing rationale: 0.4–0.6% reflects that the common is a 19%-of-enterprise slice — a ~10% swing in property values moves it ~50%. This is a position sized for its volatility, not for our conviction, which is low.

Catalyst dates: - **2026-09-09** — extended maturity of the \$1.1B Hollywood Media Portfolio loan. Source: 10-Q Note 9. **Confirmed from the filing.** Seven trading days out (Labor Day 9/7 intervenes). - **~2026-11-05** — Q3 earnings and supplemental. **Vendor-derived, unconfirmed by any company announcement.** The relevant test there: is the full-year same-store guide withdrawn, reaffirmed, or quietly back-loaded again?

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.5 (deck-provisional: market pricing a failed extension; re-court as a distressed-recovery case, not as value, and re-verify)
- filing watch: 8-K until 2027-02-24 (deck-provisional: executed Hollywood Media Portfolio extension terms - maturity, spread, paydown, reserves, rate cap, an)
- dated pack HPP|2026-09-09: HPP: extended maturity of the \$1.1B Hollywood Media Portfolio loan; forced re-court that day whether or not anything has been filed (date co
- dated pack HPP|2026-11-05: HPP: estimated Q3 2026 earnings and supplemental - vendor-derived, not confirmed by any company announcement (date confirmed=False)

What remains unverified

1. **The extension terms themselves** — maturity, spread, paydown, reserves, rate-cap purchase, recourse. The entire verdict. Unknowable until filed.
2. **Whether the property mortgage cross-defaults into the unsecured notes and revolving facility.** Neither bench could find the language in what it could read. This determines whether September is a ring-fenced property problem or a company problem — and it is load-bearing for the “no parent guaranty” conclusion that overturned the scariest finding in the file.

3. **The Series C preferred's price and yield.** Broker access denied three sessions. It may be the correct instrument and we cannot evaluate it.
4. **Average daily volume.** Never polled; our size-versus-liquidity statement is an inference.
5. **The ~10M pre-funded warrants** from the Q2 2025 offering — exercise price, expiry, and any registration or resale overhang. They are in the diluted count but their terms are unread. (Ordinary lockup risk is stale — the raise is more than twelve months old and \$0 of common was issued in 2026.)
6. **Whether the negative full-year same-store guide is a live forward call or stale February conservatism carried forward unchanged.** The exhibit shows no prior range for comparison. If it is stale, the last surviving operational objection softens further.
7. **The sell-side targets (\$14 / \$15 / \$16).** Second-hand; never confirmed against the research notes.
8. **Our own fair value.** We do not have one. Every valuation statement in this deck is a multiple applied to the company's own guidance, not an independent asset-level or discounted-cash-flow estimate. This is the single biggest analytical gap: we ended at flat partly because we never built the number that would have told us whether flat was right.
9. **Natural-hazard exposure** (seismic, wildfire) across the eight Hollywood collateral parcels, and the insurance note in the last 10-K. Genuinely relevant, because insurance cost and lender reserve demands are live variables inside an extension negotiation. Not run by either bench.
10. **The Q3 earnings date** — vendor-derived, unconfirmed by the company.

Primary sources relied on throughout: [Q2 2026 10-Q](#) · [Q2 2026 8-K exhibit 99.1](#) · [Q1 2026 results](#).

Direct SEC access returned 403s this session; both benches fetched through a proxy, and the wording quoted above was read from the retrieved documents.


```
{"price_gates": [{"level": 13.35, "direction": "below", "basis": "starter  
band, approx 11.5x the $1.16 midpoint of company-guided post-  
preferred core FF0; valid only after a qualifying extension 8-K"},  
{"level": 11.85, "direction": "below", "basis": "capped entry if the  
filed terms are materially worse than management's oral  
characterization (integrity flag stands): 0.85x the 12x-midpoint  
reference"}, {"level": 11.60, "direction": "below", "basis": "add  
band to 1.0% total, 10x guidance midpoint and ~10.4x the implied H2  
run rate of $1.12"}, {"level": 16.24, "direction": "above", "basis":  
"no-chase / trim line, 14x guidance midpoint and at the highest  
published street target; we hold no independent fair value to sell  
against"}, {"level": 9.50, "direction": "below", "basis": "market  
pricing a failed extension; re-court as a distressed-recovery case,  
not as value, and re-verify the cross-default question first"}],  
"event_gates": [{"forms": ["8-K"], "why": "executed Hollywood Media  
Portfolio extension terms – maturity, spread, paydown, reserves,  
rate cap, and any recourse or parent guaranty; this single filing  
decides the file"}, {"forms": ["10-Q", "10-K", "EX-10"], "why":  
"loan agreement exhibit and debt note: cash-management/lockbox,  
springing recourse, and whether the property mortgage cross-defaults  
into the unsecured notes and revolver"}, {"forms": ["8-K", "10-Q"],  
"why": "Q3 same-store cash NOI and whether the negative FY26 guide  
is withdrawn, reaffirmed or back-loaded again; also confirms whether  
Feb guidance was stale"}, {"forms": ["S-3", "424B", "8-K"], "why":  
"any equity or pre-funded-warrant exercise, registration or resale  
overhang against the ~10M unexamined share-equivalents"}, {"forms":  
["8-K", "10-K"], "why": "Netflix studio-footprint consolidation or  
lease restructuring – the one operational event both benches named  
as able to invalidate an extension on the 95.5%-leased Sunset  
collateral"}], "catalyst_dates": [{"date": "2026-09-09", "what":  
"extended maturity of the $1.1B Hollywood Media Portfolio loan;  
forced re-court that day whether or not anything has been filed",  
"confirmed": true}, {"date": "2026-11-05", "what": "estimated Q3  
2026 earnings and supplemental – vendor-derived, not confirmed by  
any company announcement", "confirmed": false}], "immediate_entry":  
null}
```